

2. Executor must pay testator's debts as soon as he has assets.—An *executor* or *administrator* should discharge the testator's liabilities as soon as he has collected assets sufficient for the purpose, and therefore if he keep money in his hands idle, when there is an outstanding debt upon which interest is running, he will himself be charged with interest on a sum equal in amount to the debt, and if the outstanding debt carry interest at 5 per cent. the executor will be charged with interest at the same rate (*c*).

(*c*) *Dornford v. Dornford*, as cited *Hall v. Hallet*, 1 Cox, 134; *Turner* in *Tebbs v. Carpenter*, 1 Mad. 301; *v. Turner*, 1 J. & W. 39.

Bentley v. Shreve, 2 Md. Ch. 219; but see *McKnight v. Walsh*, 24 N. J. Eq. 498. If the amounts involved are small, and the trustee receives no profit, the liability for interest may be modified; *Brand v. Abbott*, 42 Ala. 499; if the trustee pay the funds into court there can be no further claim for interest; *Young v. Brush*, 38 Barb. 294; *Brandon v. Hoggatt*, 32 Miss. 335; but these same cases hold that if any suits are pending in relation to the trust, the trustee must keep the money at interest.

If the trustee is directed to invest in a certain way within a limited time, and fails to do so, the *cestui que trust* may elect between the money together with its legal interest, or what he would have had as securities from the special investment with all actual dividends; *Durling v. Hammar*, 5 C. E. Green, 220; *McElhenny's App.* 46 Pa. St. 347.

If the trustee converts a properly invested trust fund into money, and neglects to reinvest it, invests it unwisely, or uses it in speculation, the *cestui que trust* may take what he would have received if the original investment had not been disturbed, or the fund and legal interest; or all that has been realized; *Norris's App.* 71 Pa. St. 125; *Kyle v. Barnett*, 17 Ala. 306. In the preceding cases, or in case of a mixture of trust with personal funds, the trustee may be charged with compound interest; *Elliott v. Sparrell*, 114 Mass. 404, but not unless the trustee is particularly blameworthy; *Fay v. Howe*, 1 Pick. 528; *Cartledge v. Cutliff*, 21 Ga. 1. The trustee must show that he received no profit or benefit from the money; *Hughes v. Smith*, 2 Dana, 253; *Karr v. Karr*, 6 Dana, 3; *Smith v. Kennard*, 38 Ala. 695; *Livingston v. Wells*, 8 S. C. 347; but see *Graver's App.* 60 Pa. St. 189. Where the funds were used in business compound interest is allowable; *Lathrop v. Smalley*, 23 N. J. Eq. 192; *McKnight v. Walsh*, 23 N. J. Eq. 136.

The trustee must see to it that the *cestui que trust* receives the income, or it will bear interest.

Where the trustee had unnecessarily sold lands to pay debts and had also applied trust funds to his own use, the account was taken against him with annual rests; *Wiard v. Gable*, 8 Chy. 458; where a trustee had retained money six years after it should have been paid over, he was ordered to pay six per cent. annual interest; *Small v. Eccles*, 12 Chy. 37; *Wrightman v. Helliwell*, 18 Chy. 330; *Beaton v. Boomer*, 2 Chy. Chamb. 89. Interest is charged that the *cestui que trust* may not suffer loss, rather than for the purpose of punishing the trustee; *Inglis v. Beaty*, 2 App. R. 453.